



With this, we have created a fully functioning cash flow system that effectively manages the day to day expenses and have a systematic inflow to investments as well. We have created two separate bank accounts, segregated spending money with investing money. We have fixated on an amount that will be retained in the income and spending account and the amount to be shifted to the financial plan account systematically. This way all our day to day finances, spending and investments will be in check and will be in line to meet our financial goals.

This is the easiest of the four tiers. Creating a system takes no time. However, getting used to the changes and changing financial habits may take up to a few months. Once we have taken care of this tier, we will move to the next tier – emergency system.

